

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 885

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-602G, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE HOMESTEAD PROPERTY TAX EXEMPTION; AND DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-602G, Idaho Code, be, and the same is hereby amended to read as follows:

63-602G. PROPERTY EXEMPT FROM TAXATION -- HOMESTEAD. (1) For each tax year, the first one hundred twenty-five thousand dollars (\$125,000) of the market value for assessment purposes of the homestead as that term is defined in section 63-701, Idaho Code, or fifty percent (50%) of the market value for assessment purposes of the homestead as that term is defined in section 63-701, Idaho Code, whichever is the lesser, shall be exempt from property taxation.

(2) The exemption allowed by this section may be granted only if:

(a) The homestead is owner-occupied and used as the primary dwelling place of the owner. The homestead may consist of part of a multidwelling or multipurpose building and shall include all of such dwelling or building except any portion used exclusively for anything other than the primary dwelling of the owner. The presence of an office in a homestead, which office is used for multiple purposes, including business and personal use, shall not prevent the owner from claiming the exemption provided in this section; and

(b) The state tax commission has certified to the board of county commissioners that all properties in the county subject to appraisal by the county assessor have, in fact, been appraised uniformly so as to secure a just valuation for all property within the county; and

(c) The owner has certified to the county assessor that:

(i) He is making application for the exemption allowed by this section;

(ii) The homestead is his primary dwelling place; and

(iii) He has not made application in any other county for the exemption and has not made application for the exemption on any other homestead in the county; and

(iv) He has no similar homestead exemption in any other state in the United States.

(d) For the purpose of this section, the definition of "owner" shall be the same definition set forth in section 63-701(7), Idaho Code. When an owner, pursuant to the provisions of section 63-701(7), Idaho Code, is any person who is the beneficiary of a revocable or irrevocable trust, or who is a partner of a limited partnership, a member of a limited liability company, or a shareholder of a corporation, he or she may provide

proof of the trust, limited partnership, limited liability company, or corporation in the manner set forth in section 63-703(4), Idaho Code.

(e) Any owner may request in writing the return of all copies of any documents submitted with the affidavit set forth in section 63-703(4), Idaho Code, that are held by a county assessor, and the copies shall be returned by the county assessor upon submission of the affidavit in proper form.

(f) For the purpose of this section, the definition of "primary dwelling place" shall be the same definition set forth in section 63-701(8), Idaho Code.

(g) For the purpose of this section, the definition of "occupied" shall be the same definition set forth in section 63-701(6), Idaho Code.

(3) (a) The county assessor of each county shall prescribe and make available forms to be used by a homeowner to apply for the homestead exemption provided in this section. The homeowner shall provide on such forms the homeowner's full name, date of birth, complete address, and most recent previous complete address.

(b) The homeowner shall also provide, as applicable, such homeowner's Idaho state-issued driver's license number or Idaho state-issued identification card number, except that such requirement shall not apply to a homeowner in active military service for the initial application for the exemption and during such time as the homeowner meets the qualifications provided in subsection (8) of this section.

(c) If the homeowner applying for the exemption provided in this section has not been domiciled in Idaho for at least ninety (90) days and does not have an Idaho state-issued driver's license or Idaho state-issued identification card, the homeowner shall provide an Idaho state-issued driver's license number or an Idaho state-issued identification card number to the county assessor within ninety (90) days of submitting such homeowner's initial application for the exemption.

(d) The residence address associated with a homeowner's Idaho state-issued driver's license number or Idaho state-issued identification card number shall be the same as the address of the claimed homestead property. The homeowner may, in place of an Idaho state-issued driver's license number or Idaho state-issued identification card number, submit evidence of filing an Idaho individual income tax return in the prior or current calendar year showing the address of the claimed homestead property.

(4) An owner need make application for the exemption described in subsection (1) of this section only once, as long as all of the following conditions are met:

(a) The owner has received the exemption during the previous year as a result of making a valid application as set forth in subsection (2) (c) of this section.

(b) The owner or beneficiary, partner, member or shareholder, as appropriate, still occupies the same homestead for which the owner made application.

(c) The homestead described in paragraph (b) of this subsection is owner-occupied or occupied by a beneficiary, partner, member or share-

holder, as appropriate, and used as the primary dwelling place of the owner or beneficiary, partner, member or shareholder, as appropriate.

(d) The owner does not live in another state in the United States for more than six (6) months out of the year, unless the homeowner is in active military service or serving a religious mission.

(5) (a) The exemption allowed by this section shall be effective on the date of eligibility status change provided on the approved application for the current tax year and must be taken before the reduction in taxes provided by sections 63-701 through 63-710, Idaho Code, is applied.

(b) If the eligibility status of the property eligible for the exemption changes during the tax year, the property taxes shall be prorated based on the property's eligibility status during the year. The levy rate shall be multiplied against the market value for assessment purposes of the property, and the resulting tax due shall be divided by three hundred sixty-five (365) days, or by three hundred sixty-six (366) days if the tax year is a leap year, for the daily tax amount and then multiplied by the number of days of the year such property has a given exemption eligibility status. For an owner who qualifies for the homeowner exemption, the property taxes shall be calculated using the market value for assessment purposes, reduced by the exemption amount provided in subsection (1) of this section. The levy rate shall be multiplied against such value and divided by three hundred sixty-five (365) days, or by three hundred sixty-six (366) days if the tax year is a leap year, and then multiplied by the number of days such person is eligible for the exemption.

(c) If the eligibility status of the property changes during the tax year, the taxable value of the homestead or the tax amount shall be adjusted in one (1) of the following ways:

(i) If the property becomes eligible before the second Monday of July, the reduced taxable value shall be entered on the property roll pursuant to section 63-301, Idaho Code, and the homeowner property tax relief roll pursuant to section 63-724(4), Idaho Code;

(ii) If the property becomes eligible on or after the second Monday of July, property taxes due shall be calculated as provided in paragraph (b) of this subsection and any reduction in property tax will result in a cancellation or refund as provided in section 63-1202, Idaho Code;

(iii) If the property becomes ineligible for the exemption before the second Monday of July, any additional taxable value shall be entered on the property roll pursuant to section 63-301, Idaho Code, and the homeowner property tax relief roll pursuant to section 63-724(4), Idaho Code;

(iv) If the property becomes ineligible for the exemption on or after the second Monday of July but no later than the fourth Monday of November, the additional value shall be assessed and entered on the subsequent or missed property roll pursuant to the provisions of section 63-301, Idaho Code; or

(v) If the property becomes ineligible for the exemption on or after the fourth Monday of November, the tax on the additional value

1 may be calculated as provided in paragraph (b) of this subsection
2 and billed as provided for the recovery of the property tax exemp-
3 tion pursuant to this subsection.

4 (6) Recovery of property tax exemptions allowed by this section but im-
5 properly claimed or approved:

6 (a) (i) Prior to granting an exemption, the county assessor shall
7 investigate whether an applicant for the exemption has claimed the
8 exemption for another homestead in Idaho or in any other state in
9 the United States and shall not grant the exemption where it ap-
10 pears the exemption has been improperly claimed. The applicant
11 shall be notified of the county assessor's refusal to grant the ex-
12 emption.

13 (ii) Upon discovery of evidence, facts or circumstances indicat-
14 ing any exemption allowed by this section was improperly claimed
15 or approved, the county assessor shall decide whether the exemp-
16 tion claimed should have been allowed and, if not, notify the tax-
17 payer in writing, assess a recovery of property tax and notify the
18 county treasurer of this assessment. If the county assessor de-
19 termined that an exemption was improperly approved as a result of
20 county error, the county assessor shall present the discovered ev-
21 idence, facts or circumstances from the improperly approved ex-
22 emption to the board of county commissioners, at which time the
23 board may waive a recovery of the property tax and notify such tax-
24 payer in writing.

25 (iii) Upon the first instance of a taxpayer being discovered to
26 have claimed more than one (1) homestead exemption, the taxpayer
27 shall be subject to a penalty, payable to the county treasurer, in
28 an amount equal to the amount of property tax recovered pursuant
29 to subparagraph (ii) of this paragraph, which shall be paid in ad-
30 dition to such recovery amount. The taxpayer shall be notified of
31 the assessment of such penalty at the same time as the notice of the
32 assessor's refusal to grant the exemption in subparagraph (i) of
33 this paragraph.

34 (iv) Any subsequent violation within seven (7) years of an in-
35 stance pursuant to subparagraph (iii) of this paragraph shall be a
36 misdemeanor, subject to the penalties provided in section 18-113,
37 Idaho Code. The county assessor shall notify the county prosecut-
38 ing attorney of any conduct that would constitute a misdemeanor
39 pursuant to this subparagraph.

40 (v) Nothing in this paragraph shall prohibit a taxpayer from
41 claiming a homestead exemption after January 1 for a property that
42 is not already subject to the homestead exemption, provided any
43 claim for an exemption is consistent with the requirements of sub-
44 section (2) (c) (iii) and (iv) of this section.

45 (b) Upon request by a county assessor conducting an investigation under
46 paragraph (a) of this subsection, or when information indicating that
47 an improper claim for the exemption allowed by this section is discov-
48 ered by the state tax commission, the state tax commission shall dis-
49 close relevant information to the appropriate county assessor, board
50 of county commissioners, county clerk, and county treasurer and to the

1 secretary of state. Information disclosed to county officials and the
 2 secretary of state by the state tax commission under this subsection:

3 (i) May be used to decide the validity of any entitlement to the
 4 exemption provided in this section;

5 (ii) Shall, as necessary, be used to determine a person's resi-
 6 dence for voting purposes under title 34, Idaho Code; and

7 (iii) Shall, as necessary, be used to determine a person's resi-
 8 dence for purposes of qualifying as a candidate for any elected of-
 9 fice under title 34, Idaho Code; and

10 ~~(iii)~~ (iv) Is not otherwise subject to public disclosure pursuant
 11 to chapter 1, title 74, Idaho Code.

12 (c) The assessment and collection of the recovery of property tax must
 13 begin within the seven (7) year period beginning the date the assessment
 14 notice reflecting the improperly claimed or approved exemption was re-
 15 quired to be mailed to the taxpayer.

16 (d) (i) An applicant for an exemption under this section may appeal
 17 to the county board of equalization the county assessor's refusal
 18 to grant an exemption pursuant to paragraph (a) of this subsection
 19 within thirty (30) days of the date the county assessor sent notice
 20 of the refusal.

21 (ii) The taxpayer may appeal to the county board of equalization
 22 the decision by the county assessor to assess the recovery of prop-
 23 erty tax within thirty (30) days of the date the county assessor
 24 sent the notice to the taxpayer pursuant to this section. The
 25 board may waive the collection of all or part of any costs, late
 26 charges, and interest in order to facilitate the collection of the
 27 recovery of the property tax.

28 (iii) The taxpayer may appeal the imposition of the penalty pro-
 29 vided in paragraph (a) (iii) of this subsection within thirty (30)
 30 days of the date the county assessor sent the notice to the tax-
 31 payer pursuant to this section.

32 (e) For purposes of calculating the tax, the amount of the recovered
 33 property tax shall be for each year the exemption allowed by this sec-
 34 tion was improperly claimed or approved, up to a maximum of seven (7)
 35 years. The amount of the recovery of property tax shall be calculated
 36 using the product of the amount of exempted value for each year multi-
 37 plied by the levy for that year plus costs, late charges, and interest
 38 for each year at the rates equal to those provided for delinquent prop-
 39 erty taxes during that year.

40 (f) Any recovery of property tax shall be due and payable no later than
 41 the date provided for property taxes in section 63-903, Idaho Code, and
 42 if not timely paid, late charges and interest, beginning the first day
 43 of January in the year following the year the county assessor sent the
 44 notice to the taxpayer pursuant to this section, shall be calculated at
 45 the current rate provided for property taxes.

46 (g) Recovered property taxes shall be billed, collected and dis-
 47 tributed in the same manner as property taxes, except each taxing dis-
 48 trict or unit shall be notified of the amount of any recovered property
 49 taxes included in any distribution.

1 (h) Thirty (30) days after the taxpayer is notified, as provided in
2 paragraph (a) of this subsection, the assessor shall record a notice
3 of intent to attach a lien. Upon the payment in full of such recov-
4 ered property taxes prior to the attachment of the lien as provided in
5 paragraph (i) of this subsection, or upon the successful appeal by the
6 taxpayer, the county assessor shall record a rescission of the intent to
7 attach a lien within seven (7) business days of receiving such payment
8 or within seven (7) business days of the county board of equalization
9 decision granting the appeal. If the real property is sold to a bona
10 fide purchaser for value prior to the recording of the notice of the in-
11 tent to attach a lien, the county assessor and treasurer shall cease the
12 recovery of such unpaid recovered property tax.

13 (i) Any unpaid recovered property taxes shall become a lien on the real
14 property in the same manner as provided for property taxes in section
15 63-206, Idaho Code, except such lien shall attach as of the first day of
16 January in the year following the year the county assessor sent the no-
17 tice to the taxpayer pursuant to this section.

18 (j) For purposes of the limitation provided by section 63-802, Idaho
19 Code, moneys received pursuant to this subsection as recovery of prop-
20 erty tax shall be treated as property tax revenue.

21 (7) The legislature declares that this exemption is necessary and just.

22 (8) A homestead that previously qualified for exemption under this sec-
23 tion in the preceding year shall not lose such qualification due to: the
24 owner's, beneficiary's, partner's, member's or shareholder's absence in the
25 current year by reason of active military service or because the homestead
26 has been leased because the owner, beneficiary, partner, member or share-
27 holder is absent in the current year by reason of active military service.
28 An owner subject to the provisions of this subsection must apply for the ex-
29 emption with the county assessor every year on or before a deadline date as
30 specified by the county assessor for the county in which the homestead is
31 claimed. If an owner fails to apply on or before the established deadline,
32 the county may, at its discretion, discontinue the exemption for that year.

33 (9) A homestead that previously qualified for exemption under this
34 section in the preceding year shall not lose such qualification due to the
35 owner's, beneficiary's, partner's, member's or shareholder's death during
36 the year of the owner's, beneficiary's, partner's, member's or share-
37 holder's death and the tax year immediately following such death, provided
38 that the homestead continues to be a part of the owner's, beneficiary's,
39 partner's, member's or shareholder's estate. After such time, the new owner
40 shall reapply to receive the exemption pursuant to this section and shall
41 meet the qualification criteria contained in this section.

42 (10) The amount by which each exemption approved under this section ex-
43 ceeds one hundred thousand dollars (\$100,000) may, in the discretion of the
44 governing board of a taxing district, be deducted from the new construction
45 roll for the following year prepared by the county assessor in accordance
46 with section 63-301A, Idaho Code, but only to the extent that the amount ex-
47 ceeds the same deduction made in the previous year.

48 (11) By July 1, 2023, the state tax commission shall establish a data-
49 base of all active exemptions claimed under this section, which database
50 shall be searchable by a person's name and by the address of the homestead

1 for which the exemption is claimed. The database shall be made accessible
2 to officials listed in subsection (6) (b) of this section for the purpose of
3 verifying that:

4 (a) Multiple active exemptions have not been claimed by the same per-
5 son; ~~and~~

6 (b) A person's residence for voting purposes is the same as the home-
7 stead for which such person has an active exemption pursuant to this
8 section, if an exemption is so claimed; ~~and~~

9 (c) A person's residence for any declaration of candidacy for elected
10 office is the same as the homestead for which such person has an active
11 exemption pursuant to this section, if an exemption is so claimed.

12 (12) Increases in taxable value resulting from any change in status of
13 a property formerly or newly receiving the homeowner exemption shall be in-
14 cluded by the county assessor on the property roll or subsequent property
15 roll required pursuant to section 63-301, Idaho Code.

16 SECTION 2. An emergency existing therefor, which emergency is hereby
17 declared to exist, this act shall be in full force and effect on and after its
18 passage and approval, and retroactively to January 1, 2026.